Outlook

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Follow-up: does loan pricing reflect risk or merely describe it?

Team,

Before this becomes another standing report, can we answer the real question?

Pricing wants to know whether loan spreads vary coherently with risk, affordability, collateral and later repayment outcomes. The possible stories are that channel or product creates unexplained pricing differences, that later distress is concentrated in affordability edges rather than price, or that higher spreads align with higher expected risk.

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use February 2023 as the new evidence point rather than recycling the earlier conclusion. The operating teams agree that more journeys are failing; they disagree on whether the customer, the bank or a downstream party owns the failure.

Please prepare a short decision pack with no more than five slides and an attached evidence table. The output must help us decide which pricing rules need review and which differences require conduct testing.

Data available: the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; collections cases, promises to pay and recovery payments; transaction-level timestamps, channels, amounts, statuses and error context; monthly customer and KYC snapshots.

Please state the limitation plainly: This is an internal consistency and outcome review, not proof that a price is legally fair or actuarially optimal.

Thanks